

Mark schemes

1.

Areas for discussion include:

- definitions/explanations: the balance of payments, the current account, current account deficit
- explaining the difference between a surplus or deficit on current account
- explaining the composition of the current account of the balance of payments
- explaining the historical experience of the UK's current account
- explaining the causes of deficits
- explain possible measures to reduce the deficit such as:
 - exchange rate manipulation
 - changes in interest rates potentially affecting the exchange rate
 - expenditure-reducing policies
 - expenditure-switching policies
 - the role of protectionism
 - government role in export promotion/trade deals
 - the role of fiscal and monetary policy
 - supply-side improvements which might begin to provide a solution to the weakness, such as:
 - competitiveness/unit labour costs
 - investment (human and physical capital)
 - technology, R&D and productivity
 - infrastructure
- consideration of the UK's membership of the WTO and EU restricting its ability to use protectionism
- consideration of whether the deficit is a problem if the capital account is in surplus
- consideration of the impact on other macroeconomic goals of trying to reduce the deficit on the current account of the balance of payments.

The use of relevant diagrams such as AD/AS diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

2.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	• The EU • How benefits to individuals and firms can be measured • Consumer welfare
Developing the response to the question: (application and analysis)	Benefits of EU membership on individuals and firms: • Job creation in export industries • Increased supply of labour potentially reduces costs for firms • Lower cost labour reduces cost of living therefore improved consumer welfare • Firm's costs are reduced for raw materials from within EU • Economies of scale • Competition drives efficiency in firms • Other benefits e.g. maternity / paternity benefits (Individuals) • Microeconomic effects and effects on individual markets e.g. CAP • Potentially larger markets for firms • Employment opportunities accessible in other countries Costs of EU membership on individuals and firms: • Structural unemployment in certain regions due to free trade • Pressure on public services due to increased population as a result of immigration from other EU countries • Higher taxes on individuals to pay for public services • Increased supply of labour could lower wages for individuals • Higher taxes as a result of EU contributions • Microeconomic effects such as higher agricultural prices due to common external tariff and CAP • EU regulations increasing costs • Competition causing firms to go bust
Evaluation	• Benefits to some people such as lower cost for wages for firms may be a problem for others for example low-paid workers • Difficulty of estimating what would have happened had the UK not been in the EU • Different experiences in different regions of the UK, structural unemployment may be exacerbated in some areas • How do we measure benefits? The issues are somewhat subjective • What is the alternative? Potential of "Brexit" <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK / other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

**3.**

Level of response	An answer that:	Max 9 marks
3	• is well organised and develops one or more of the key issues that are relevant to the question • shows sound knowledge and understanding of relevant economic terminology, concepts and principles • includes good application of relevant economic principles and/or good use of data to support the response • includes well-focused analysis with a clear, logical chain of reasoning • includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7-9 marks
2	• includes one or more issues that are relevant to the question • shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and/or data to the question • includes some reasonable analysis but it might not be adequately developed and may be confused in places • may include a relevant diagram.	4-6 marks
1	• is very brief and/or lacks coherence • shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • demonstrates very limited ability to apply relevant economic principles and/or data to the question • may include some very limited analysis but the analysis lacks focus and/or becomes confused • may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1-3 marks

A standard tariff diagram is expected, illustrating the volume of imports with and without a tariff.

Relevant issues include:

- a tariff as a tax on imports
- removing the tariff makes imports more competitive
- the impact on the demand for imports and the supply of home produced goods
- the relevance of elasticities.

[9]

4.

The anticipated diagram would make appropriate use of diagrams, e.g. AD/AS, currency diagrams.

Relevant issues include:

- For a relevant explanation of a devaluation of the exchange rate: An exchange rate is the value of one currency in terms of another and a devaluation is when a currency is lowered in value against another. This usually occurs in a fixed exchange rate system unlike a depreciation which is in a floating exchange rate system.
- Numerical example of a devaluation.
- As China devalues its currency, the value of the yuan falls in relation to the pound, therefore one pound buys more yuan. This makes imports from China relatively cheaper and exports from the UK to China relatively more expensive, thus the value of imports rises and the value of exports fall which are both components of aggregate demand causing aggregate demand to fall therefore reducing real national output and creating negative short-run economic growth.
- Effects on investment.
- Effects on business confidence.

[9]

5.

Response:	Max 4 marks
• includes evidence that shows that the UK is having more success in trading goods with the rest of the world than with Europe • clearly explains how this data is evidence of increased trade with the rest of the world	4 marks
• includes evidence that shows that the UK is having more success in trading goods with the rest of the world than with Europe • unclear explanation of how this data is evidence of increased trade with the rest of the world	3 marks
• includes evidence that shows that the UK is having more success in trading goods with the world than with Europe • limited explanation of how this data is evidence of increased trade with the rest of the world	2 marks
• includes evidence that does not clearly show that the UK is having more success in trading goods with the rest of the world than with Europe • no explanation of how this data is evidence of increased trade with the rest of the world	1 mark

**Relevant issues include:**

- Evidence of reducing deficit in trade in goods or increasing surplus in trade in goods with the rest of the world countries is an indication of more success
- the only country with which the UK has a trade surplus is outside Europe, ie USA
- between February-April 2012 and February-April 2013 the UK's trade balance deteriorated with the three countries in Europe but improved with the two countries in the rest of the world
- in February-April 2012 the UK's biggest deficit (£5.5 billion) was with China, the rest of the world, whereas in February-April 2013 the UK's biggest deficit (£5.9 billion) was with Germany, inside Europe

[4]

8.

Explanation**For defining / explaining**

- Customs union / free trade area
- Pattern of trade
- Volume of trade
- Trade or exports / imports

**Up to 2 marks per
definition or explanation to
a maximum of 4 marks**

Award 1 mark for each step in a logical chain of reasoning:**For example:**

Due to the membership of the EU, there are no internal tariffs **(1 mark)** between the UK and the other 27 member states **(1 mark)** so when trading with another country for example France **(1 mark for example)** the cost of doing so is lower **(1 mark)** and firms will experience lower prices if France has exploited its comparative advantage **(1 mark)** as France has a lower opportunity cost than the UK **(1 mark)** in for example the production of wine **(1 mark for example)** which leads to trade creation **(1 mark)** which increases the volume of imports **(1 mark)** from other members of the EU which affects the pattern of trade in terms of who trades what with who **(1 mark)**.

Other examples include: Potential for exporting products in which the UK holds a comparative advantage in, economies of scale, potential trade diversion due to common external tariff, retaliation, enforced embargoes.

Up to 15 marks

Use of diagrams to help support explanations, e.g. tariff diagram, quota diagram, AD/AS, Economies of scale

**Up to 2 marks per diagram
(1 mark for labelling, 1
mark for correct
information shown) to a
maximum of 4 marks**

Reference to the UK and/or other economies.

**1 mark per reference to a
maximum of 2 marks**

Award a **maximum of 10 marks** if both parts of the question are not attempted i.e. the pattern of trade **and** the volume of trade.

[15]

9.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	• Budget deficit • Trade deficit • The Balance of Payments
Developing the response to the question: (application and analysis)	Arguments why a trade deficit is more damaging than a budget deficit: • Could indicate lack of productivity • Could cause depreciation of currency • Could cause problems for a country's reserves • A surplus on the financing section of the balance of payments increasing international indebtedness • Deflationary pressure • Could indicate structural weaknesses • Effects on jobs such as structural unemployment Arguments why a budget deficit is more damaging than a trade deficit: • Crowding out • Loss of credit status leading to increased costs of government borrowing • Future generations footing the bill (vertically inequitable) • Possibility of tax rises / cuts in spending • Adds to national debt • Could be inflationary
Evaluation	• Both issues are not mutually exclusive, an improved supply-side performance could help both. • The UK's ability to attract FDI will help finance the capital account and may off-set any problems on the trade deficit, however this may also benefit the UK's budget deficit in terms of job creation and generating tax revenue. • Deficits on both may be necessary and advantageous, they may both benefit living standards in terms of more goods being consumed or boosting AD. • Consideration that trade-offs may take place with the other macroeconomic goals, for example reducing the budget deficit may reduce the trade deficit but at the same time harm unemployment or create deflation. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK / other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

10.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	• Monetary policy • Exchange rates • Macroeconomic performance
Developing the response to the question: (Application)	Drawing on the information in the extracts: • Currency wars and potential retaliation (Extract B) • Investor confidence (Extract B) • Threats to economic growth in the UK and USA (Extract B) • Effects of interest rates on exchange rates (Extract B) • Methods of reducing trade deficits (Extract C) • Effects on other Monetary Policy instruments and targets (Extract C) • Problems that Switzerland faced in a fixed system (Extract C) • Effects on trade and stability due to stable exchange rates (Extract C)
(Analysis)	Arguments why managing the exchange rate may be beneficial: • Stability leading to investment • More certainty regarding export revenue for firms • More certainty regarding import prices for firms • Consumers benefitting from stable prices • Possible avoidance of deflationary pressure if revalued • Improving competitiveness of firms if devalued • Increased trade flows with the EU due to increased transparency in prices if fixed to Euro. Arguments why managing the exchange rate may not be beneficial: • Loss of ability to use interest rates effectively • May be expensive for government • Loss of BoE's independence and use of policy instruments • Conflicts and trade-offs with other macroeconomic objectives • Potential of choosing "the wrong rate" to fix at • The UK's historical experience with the ERM • Loss of automatic adjustment or stabilisation
Evaluation	• The relative success or lack of success in the use of interest rates in the past • The possible success or lack of success in the use of quantitative easing in the past • The relative importance of the trade deficit in terms of other macroeconomic goals, is it more important to focus on domestic consumption? • Can the government afford to prop up the currency if needed or does this contradict aims to reduce the budget deficit? • Is the currency the major problem with the UK's export competitiveness or is it due to structural problems and a lack of productivity? • Would fixing the exchange rate low lead to a "race to the bottom" with other currencies? <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for

- Reference to the UK / other economies
- Diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not mentioned above.

[25]

11.

For defining / explaining

- Recession
- Economic growth
- The trade cycle.

Up to 2 marks per definition or explanation to a maximum of 4 marks

Award 1 mark for each logical link in the chain of reasoning:

For example

Higher unemployment **(1 mark)** much of which will be cyclical unemployment **(1 mark)** due to a lack of AD which causes disposable incomes to fall **(1 mark)** which leads to further negative multiplier effects **(1 mark)** which may mean even less revenue and profits for firms **(1 mark)**. Firms are also likely to be reluctant to hire new staff due to existing spare capacity **(1 mark)** and may just run down existing stocks **(1 mark)** rather than increase output **(1 mark)** which may exacerbate the unemployment problem and lead to both hysteresis **(1 mark)** and further problems of demotivated “long-term” unemployment **(1 mark)**.

Other issues include: Effects on inflation, balance of payments on current account, poverty, and investment.

Up to 15 marks

Use of diagrams to help support explanations, e.g. trade cycle, AD/AS

Up to 2 marks per diagram (1 mark for labelling, 1 mark for correct information shown) to a maximum of 4 marks

Reference to the UK and/or other economies.

1 mark per reference to a maximum of 2 marks

[15]

12.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	- Public sector - The UK economy - Macroeconomic performance / living standards
Developing the response to the question: (application and analysis)	Arguments why a smaller public sector may benefit the UK economy: - Crowding-out arguments (both physical and financial) - The role of potentially lower taxes in affecting growth - The role of potentially lower taxes in supply-side policy - The role of potentially lower taxes on private sector employment and the willingness to work - The role of potentially lower taxes on FDI - Deficit reduction and debt repayment - Potential boosts to the private sector of reduced red-tape and effects on recruitment. Arguments why a smaller public sector may be damaging to the UK economy: - An absence of the “crowding in” effect - A lack of public sector employment and negative multiplier effects - Regional effects especially in places reliant upon high levels of public expenditure - The possibility that some unemployment could be structural in nature due to the nature of some public sector jobs - A lack of provision of public services - A lack of correction of market failures - Possible rising inequality.
Evaluation	- Effects may differ depending on income group and stakeholder group depending upon the focus of government policy - The global economy may have a much larger effect for example FDI may not be forthcoming due to global uncertainty - Effects may differ depending on the employment sector (some government spending may be “ring-fenced”) - Other factors which may be more important than the size of the public sector - The degree of requirement for the size of the government may vary with the trade cycle (alternatively it could be argued that this should be irrelevant to the trade cycle). <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Reference to the UK / other economies - Diagrams - An overall judgement on the issues raised

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

13.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	• Balance of payments • Current account and capital account • Exchange rates • Macroeconomic performance indicators
Developing the response to the question: (application and analysis)	Arguments why an appreciation of the pound against the Euro may be beneficial to the UK's macroeconomic performance • The effects of cheaper raw materials from Europe on inflation • The effects on competitiveness with the rest of the world if costs are lower • Impacts on UK manufacturing employment of cheaper European raw materials • Potential improvements to productivity in response to more expensive exports • Impacts of non-price competitiveness in response to more expensive exports • Could reduce inflationary pressure if the economy is in a boom • May act as a stabiliser to UK growth Arguments why an appreciation of the pound against the Euro may be detrimental to the UK's macroeconomic performance • The effects of cheaper raw materials from Europe on unemployment • Outsourcing to Europe affecting employment and growth • The loss of export competitiveness against Europe • Potential falls in FDI from Europe due to increased costs and its effects on growth
Evaluation	• Depends upon the duration of the change, self-correction may occur • Other issues other than exchange rate may have greater potential impacts on the economy such as domestic fiscal and monetary policy • The Marshall-Lerner condition (not in specification) and the effects of changing exchange rates upon the current account of the balance of payments • Changes to the patterns of trade and the importance of the exchange rate multilaterally rather than bilaterally. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK / other economies • Diagrams • An overall judgement on the issues raised

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

14.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Issues and areas for discussion include

Introduction	• Macroeconomic performance • Trade • Free trade or trading blocs
Developing the response to the question: (Application)	• Focussing on improving trade in services (Extract B) • Sharing technology (Extract B) • Boosting exports, competition and investment (Extract B) • Improving international relations (Extract B) • Growth of Asian economies in comparison to slow EU growth (Extract C) • Problems for trade unions and environmental issues (Extract C) • Regional inequality (Extract C) • Unfair competition from state subsidised industry (Extract C) • Increasing power of MNCs in comparison to elected government (Extract C)
(Analysis)	Arguments why free trade agreements may benefit the UK: • Effects of increased export opportunities on output and employment • Effects of increased inward investment on output and employment • Impacts on the price of imports / semi-manufactures • Economies of scale and the effects on price level • Boosts to productivity and output • Benefits of competitive markets and sharing of technologies • Boosts to international relations • Improved choice / quality • Comparative advantage and the gains from trade. Arguments why free trade agreements may damage the UK: • The UK is unable to use protectionist policies such as quotas, tariffs, export subsidies • Possibly open to more external shocks • Sunrise / sunset industry arguments • May be subject to increased price fluctuations / instability • Loss of potential tariff revenue (although this is not directly received in the EU) • Cultural and strategic industry arguments • May be unable to protect against “dumping” • Environmental issues with increased transportation • Unclear growth and employment effects • Problems for small business in comparison to MNCs • May give an impetus to further deregulation / privatisation.
Evaluation	• The UK being unable to negotiate their own deals due to EU membership at the moment, however after we leave the EU it can conduct its own negotiations. • The EU currently not having deals in place in comparison to other economies • Benefits and costs depending on the various stakeholders points of view and short-term benefits, such as lower prices, may have long-term costs such as increased structural unemployment

	- Regions of the UK may experience different impacts - Trade deals may be done which don't directly involve the UK but could benefit it or could potentially damage it such as the TPP - References to UK's current situation affecting trade <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Reference to the UK / other economies - Diagrams - An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

15.

For defining / explaining - Exchange rates - Appreciation - Different exchange rate systems	Up to 2 marks per definition or explanation to a maximum of 4 marks
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Award 1 mark for each logical link in the chain of reasoning

For example A free floating exchange rate is determined by the supply and demand of currency on FOREX (1 mark). Speculative activity (1 mark) may occur if it is thought there will be a rise in the interest rate (1 mark) of a particular economy which will increase the demand of that currency (1 mark) as the returns to saving rise (1 mark) if money is placed in an economy's financial institutions (1 mark). As the flow of 'hot money' increases (1 mark) this may lead to an appreciation (1 mark but not to be awarded in addition to definition marks) such as £1 = \$1.46 goes to £1 = \$1.50 (1 mark for examples but not use of the example in the preamble). Other examples include: trade flows, productivity rates, inward investment, other speculative activities and government intervention.	Up to 15 marks
Use of diagrams to help support explanations, currency diagrams, trade cycles and AD/AS diagrams	Up to 2 marks per diagram (1 mark for labelling, 1 mark for correct information shown) to a maximum of 4 marks.
Reference to the UK and/or other economies.	1 mark per reference to a maximum of 2 marks

[15]

16.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
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Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	- Productivity improvements - The EU economy - Macroeconomic performance.
Developing the response to the question: (Application)	- Improvements to infrastructure & investment (Extract E) - Difficult to improve productivity in some jobs (Extract E) - Links to living standards (Extract E) - Links to wages (Extract E) - Improvements in skills (Extract E) - Improvements to competitiveness (Extract F) - Solutions to unemployment problems (Extract F) - Boosts to welfare and lower prices (Extract F) - Product and process innovation (Extract F) - Structural weakness and lack of investment (Extract F)
(Analysis)	Arguments why productivity improvements may benefit the UK - Improvements in efficiency - Lower unit costs for firms and potential for increased profits - Improved competitiveness and the impact on the current account of the balance of payments - If UK productivity improvements can be achieved it may attract FDI and improve the capital account of the balance of payments - Higher wages - Economic growth - Possible boosts to tax revenue Arguments why productivity improvements may not benefit the UK - Productivity improvements may not require as many workers and impact on unemployment - Other countries may become more competitive at the UK's expense - If other countries are more competitive then it may divert FDI - Productivity improvements don't necessarily improve living standards - Other issues such as exchange rates may distort productivity gains - Opportunity cost of supply-side policies - Difficulties in measuring the impact of supply-side policies
Evaluation	- Potential conflicts between macroeconomic goals are traditionally reduced through productivity improvements. However, due to globalisation this may not always be the case - The UK's membership of the EU allows productivity improvements to be shared easily due to the free movement of workers and capital although this doesn't appear to have helped the UK's current membership - Knowledge transfer and process innovation have improved between economies however, the UK has still remained behind - Competitiveness relies on many other factors which are not covered by productivity - Consideration of UK's decision to leave the EU <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is</i>

	<i>important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK / other economies • Diagrams • An overall judgement on the issues raised

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

17.

Level of response	Response	Max 10 marks
3	A good response that: • is well organised and includes at least three relevant, well-developed issues • makes effective use of the numerical/statistical data in Extract B • shows some appreciation of the limitations of the data • includes a supported final judgement concerning the extent to which UK manufacturing industry has been in decline since 2003.	8 – 10 marks
2	A reasonable response that: • is fairly well organised and includes at least two relevant and fairly well-developed issues • includes some satisfactory use of the numerical/statistical data in Extract B • may show some appreciation of the limitations of the data • at the top of the level, is likely to include a final judgement regarding the extent to which UK manufacturing industry has been in decline since 2003.	4 – 7 marks
1	A weak response that: • is very brief and/or lacks coherence • may include one or more superficial points regarding the extent to which UK manufacturing industry has declined since 2003 • doesn't show any appreciation of the limitations of the data • contains very limited or poor use of the data in Extract B • may include an unsupported judgement concerning the decline in UK manufacturing since 2003.	1 – 3 marks

When assessing the extent to which manufacturing industry has been in decline since 2003, most candidates are likely to base their assessment on the data in Extract B. However, they can also be rewarded for making relevant use of the other extracts and their own knowledge.

Allow candidates a small margin of error, particularly when quoting from Figures 1 and 2.

Relevant issues include:

- the changes in the index of output of manufacturing, e.g. the fluctuations and comparing the start and end values (97.8 to 96.6)
- the decline in employment between 2003 Q1 and 2009 Q1 (3.65m to 2.99m)
- the modest recovery in employment between 2009 Q1 and 2015 Q3
- discussion of output and employment as indicators of the possible decline in manufacturing
- changes in the exports of goods (increase of £97.1bn)
- changes in the imports of goods (increase of £171.2bn)
- changes in the balance of trade in goods (deteriorates by £74.1bn)
- not all goods are manufactures, e.g. basic commodities
- the trade figures do not take into account inflation
- the changing share of manufacturing but precise data for the period 2003 – 2015 has not been provided
- use of data concerning the rate of growth of manufacturing
- the growth of manufacturing compared to the rate of growth of real GDP
- some may use data in the extracts relating to car manufacturing and the steel industry.

As indicated in the table above, a good response will include a supported final judgement concerning the extent to which there has been a decline in manufacturing since 2003. It is likely that they will conclude that the evidence backs the view that manufacturing has declined over the period but should not be penalised for a different conclusion, provided it is well supported.

[10]

18.

The anticipated diagram would make appropriate use of diagrams, e.g. LRAS shifting right, SRAS shifting right, PPF's or AC curves.

Relevant issues include:

- Definition of investment.
- Explaining this in terms of a business entity in one country gaining ownership in another.
- Explaining the difference between FDI and portfolio investment.
- Increased foreign direct investment (FDI) by possibly bringing new technology or production processes into an existing firm which may reduce the need for labour to gain the same output and therefore boosts labour productivity.
- Improvements to infrastructure carried out by government capital spending such as improvements to motorways may allow transport costs to fall allowing the company to produce the same output for lower cost and boosts to efficiency and productivity.
- Research and development and increased competition due to FDI.
- Different forms of transport and communication links for infrastructure.

[9]

19.

Anticipated diagrams might utilise the SRAS shifting right, micro diagrams demonstrating falling costs, removal of tariffs/quotas.

Relevant issues include:

- A relevant definition of comparative advantage.
- The difference between acquired and natural comparative advantage.
- The difference between absolute advantage and comparative advantage.
- A numerical example / diagram.
- Improved communication through developments in technology, such as the internet has allowed individuals to order goods across international borders.
- Further to this, international pay sites such as PayPal facilitate the easy exchange of currency with minimal transaction costs which has increased the volume of goods and services traded abroad.
- The work of the WTO
- Removal of protectionism
- Creation of trading blocs
- Economies of scale
- The role of MNC's
- Financial liberalisation
- Containerisation
- Reduced transport costs.

[9]

20.

Response	Max 2 marks
For the correct answer £2bn . The 'units', (£bn) must be shown.	2 marks
For the correct answer without a unit shown.	1 mark

[2]

21.

B

[1]

22.

D

[1]

23.

Relevant issues include:

- definitions/explanations: government spending, taxation, economic activity
- explaining the different forms of government spending such as capital/current /transfers
- explaining the levels of government spending
- explaining the reasons for government spending i.e. the redistribution of income and wealth, merit good provision etc.
- explaining how changes in government spending and taxation can influence aggregate demand both directly and indirectly
- explaining discretionary policy
- explaining automatic stabilisers
- explaining the effects of the economic cycle on government spending and taxation
- explaining how changes in government spending could change aggregate supply such as:
 - capital spending on infrastructure
 - training and education
 - subsidies/grants for research and development
 - subsidies/grants for investment
 - tax credits
 - assisted childcare and the effects on labour supply
 - any other relevant point
- multiplier and possible accelerator effects
- explaining the different types of taxation
- explaining how changes in taxation could change aggregate supply such as:
 - reducing income tax creating incentives to work
 - reducing corporation tax allowing firms to retain more profit for investment
 - reducing taxation, possibly making UK firms more competitive abroad and effects on supply
 - using taxation (tariffs) as a form of protectionism, aiding domestic supply
 - any other relevant point.

The use of relevant diagrams such as AD/AS, or labour market diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Note: Unless a candidate considers both government expenditure and taxation, they are unlikely to have 'developed a selection of key issues that are relevant to the question' and therefore unlikely to achieve level 3.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]



24.

Relevant issues include:

- definitions/explanations: trade, pattern of trade
- explaining the pattern in terms of the geographical distribution of UK exports and imports
- explaining the significance of trade to the UK economy
- explaining the pattern in terms of different goods and services traded
- using relevant examples to illustrate the changes in the pattern of trade
- explaining comparative advantage and how changes in comparative advantage might be significant
- giving a numerical example of comparative advantage
- explaining other possible reasons for changes in the pattern of trade, eg:
 - changes in absolute advantage
 - changes in protectionist/free trade policies in other countries
 - joining/changing membership of trading blocs
 - consideration of trade diversion/trade creation due to trading blocs
 - exchange rate changes
 - changing quality/reputation
 - government intervention distorting markets
 - de-industrialisation
 - causes and changes in globalisation
 - external shocks
 - economic development
 - factor endowment and exploitation of resources
 - innovation and invention (both product and process)
 - any other valid argument.

The use of relevant diagrams, such as a tariff diagram, to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: - is well organised and develops a selection of the key issues that are relevant to the question - shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: - has identified one or more relevant issues - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles to the given context and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

**25.****Areas for discussion include:**

- definitions/explanations: unemployment, macroeconomic policy, macroeconomic goals, trade-offs
- explaining the various causes/types of unemployment
- distinguishing between involuntary and voluntary unemployment
- explaining the different policy responses depending upon the nature of the unemployment
- explaining the effects of falling unemployment on:
 - inflation
 - economic growth
 - trade
 - other goals such as the budget deficit
- highlighting the UK's experience in reducing unemployment whilst maintaining stable inflation and a satisfactory balance of payments position
- the role of supply-side policies and productivity improvements in avoiding conflicts
- the effects of economic shocks on the economy and the difficulty of insulating against these
- the short-run Phillips curve
- government policies to reduce unemployment
- considering the relative success of recent government policies in the UK or other economies
- considering the position of the economy in terms of the proximity to the productive potential
- considering the position of the UK in terms of the economic cycle

The use of relevant diagrams such as the short-run Phillips curve and AD/AS diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**26.****Areas for discussion include:**

- definitions/explanations: economic development, market-based strategies, interventionist strategies
- differences and links between economic growth and economic development
- examples of market-based strategies such as privatisation, deregulation, liberalisation of foreign trade, removing restrictions on international investment
- examples of interventionist strategies such as government spending on infrastructure, protectionist policies and government spending on health and education
- the pros and cons of market-based approaches to achieving development
- the pros and cons of interventionist approaches to achieving development
- difficulties in measuring development in terms of economic/human development
- the potential barriers that may hinder India's development
- analysis of the impact of development on formal employment/informal employment
- the progression from the primary sector to secondary sector employment
- whether growth and development are sustainable
- economic/social/political freedom arguments
- costs of development **and/or** growth and their impact on living standards
- the effectiveness of policies that might stimulate development
- protectionism as an aid to development
- the role of investment (domestic and foreign direct)
- key industries in development.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

- definitions/explanations: trade or current account deficit, trade, balance of payments, macroeconomic performance
- explaining how a trade or current account deficit may impact upon:
 - economic growth
 - unemployment
 - inflation
 - other measures of performance
- considering the causes of the trade or current account deficit
- explaining the difference between trade in goods and services
- considering other parts of the current account of the balance of payments, ie primary and secondary income flows, and their significance
- the role of the capital and financial accounts
- the significance of having a floating exchange rate
- possible government responses to the deficit and their impact on macroeconomic performance
- the UK's past experiences with current account deficits
- the relative importance of the current account deficit in comparison to the other economic goals
- the "persistent" nature of the deficit
- the potential costs and benefits of surpluses on the financial account
- possible structural problems in the UK economy causing the imbalance.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**29.****Areas for discussion include:**

- definitions/explanations: economic development, MNCs, LEDCs
- positive roles of MNCs in developing nations such as the effects on:
 - employment and job creation
 - economic growth (short-run and long-run)
 - the trade balance (eg increase exports)
 - productivity and international competitiveness
 - infrastructure
 - investment and positive multiplier effects
 - development of human capital
 - knowledge and technological transfer
 - standards of living
- potential negative roles of MNCs in developing nations such as the effects on:
 - the environment
 - the exploitation of workers
 - the destruction of culture
 - the indigenous industries being unable to compete
 - the unfair political influence which MNCs may possess
 - possible tax avoidance
 - the repatriation of profits which is negative on GNP
- explaining the main differences between LEDCs and MEDCs
- examples of MNCs and countries in which they have set up
- the issue that job creation may be limited due to the capital-intensive nature of the FDI and filling management roles from the source nation
- that the role depends upon the objectives of the MNC and that initial positive effects may change over time
- what may happen if the MNC had not been involved in the economy. Would domestic firms have fared better?
- the individual government's ability to control the power of the MNCs may determine whether, on balance, they have a positive impact on development.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]